GCE AS MARKING SCHEME

WJEC / EDUQAS

AS ECONOMICS – COMPONENT 1
Practice Paper 1 (Moderate)

About this marking scheme

This marking scheme follows the same band-based AO structure used in WJEC / Eduqas live mark schemes. For each question, marks are allocated against the relevant Assessment Objectives (AO1 knowledge & understanding, AO2 application, AO3 analysis, AO4 evaluation). Candidates may achieve different bands within a single question. Indicative content is illustrative — candidates do not need to include all of it to reach the highest band. Examiners should adopt a positive marking approach and credit any economically valid alternative.

Q1. Using calculations in your answer, outline how price elasticity of demand changes along this demand curve. **[6]**

AO1 **2 marks**	**Good understanding – 2 marks** Understands that PED becomes more inelastic as the demand curve slopes down from left to right (or more elastic moving from right to left). **Limited understanding – 1 mark** Understands the concept of price elasticity of demand.
AO2 **4 marks**	**Excellent application – 4 marks** Both an elastic and an inelastic calculation done correctly and expressed as a negative figure. **Good application – 2–3 marks** 3 marks: both inelastic and elastic calculations done correctly. 2 marks: one done correctly (or only one calculation, e.g. one PED for the whole curve). **Limited application – 1 mark** Identifies some numbers correctly but does not use % change correctly.

Indicative content

AO1: PED measures how responsive quantity demanded is to a change in price. Along a downward-sloping straight demand curve PED falls from elastic (top-left) through unit elastic (mid-point) to inelastic (bottom-right).

AO2: Example calculations using the figure (P from 12 to 2, Q from 2 to 12):
Elastic region: P falls from £11 to £10 (-9.1%), Q rises from 3 to 4 (+33.3%). PED = +33.3 / -9.1 = -3.66 (elastic).
Inelastic region: P falls from £3 to £2 (-33.3%), Q rises from 11 to 12 (+9.1%). PED = +9.1 / -33.3 = -0.27 (inelastic).
Any correct calculations giving an elastic value and an inelastic value should be credited.

Q2 (a). Using the data in column 3 of Table 1, outline the differences between the types of products sold by the shop using income elasticity of demand. **[5]**

Band	**AO1 — 2 marks** **Is income elasticity of demand understood?**	**AO2 — 3 marks** **Is the data interpreted correctly?**
3		**3 marks – Excellent application** Use of the YED numbers to show understanding of both inelastic and elastic YED AND both normal and inferior goods.
2	**2 marks – Good understanding** Of income elasticity of demand.	**2 marks – Good application** Use of YED to show one matching pair (elastic/inelastic AND normal/inferior) plus one other element correctly identified.
1	**1 mark – Limited understanding** Of YED (may be by formula only).	**1 mark – Limited application** YED numbers used to show either elastic/inelastic OR normal/inferior, but not both.
0	0 marks – no valid understanding.	0 marks – no valid application.

Indicative content

AO1: YED is the responsiveness of quantity demanded to a change in income. It can be positive (normal good) or negative (inferior good), and either elastic (|YED|>1) or inelastic (|YED|<1).

AO2 — for this paper:

Product 1 (YED +2.4): income elastic and a normal/luxury good.
Product 2 (YED -0.4): income inelastic and an inferior good.
Product 3 (YED +0.3): income inelastic and a normal/necessity good.

Q2 (b). Using Table 1 and Figure 1, consider whether the change in UK Real GDP between 2021 and 2023 will be harmful for the total revenue of the shop. **[6]**

Band	**AO2 (2)** **Is the answer in context?**	**AO3 (2)** **Is reasoning on total revenue explained?**	**AO4 (2)** **Is the answer debated and judged?**
2	**Good application** – GDP data and YEDs both used to support arguments.	**Good analysis** – developed lines explaining the impact of GDP change on total revenue.	**Good evaluation** – reasoned judgement on harm to TR; counter-arguments present and developed.
1	**Limited application** – limited reference to GDP/YEDs.	**Limited analysis** – chain of reasoning present but superficial.	**Limited evaluation** – counterpoints present but underdeveloped (or a one-sided judgement using sales proportions).
0	No valid application.	No valid analysis.	No valid evaluation.

Indicative content

AO2: UK Real GDP rises from approximately £565,000m in 2021 to £590,000m in 2023 — rising incomes. 70% of sales (Product 1 + Product 3) are normal goods; 60% of sales are highly income-elastic (Product 1, YED +2.4). Only 10% of sales (Product 2) are inferior goods.

AO3: Rising incomes will significantly raise demand and sales of Product 1 (luxury-type, YED +2.4) and modestly raise Product 3. Demand for Product 2 (inferior, YED -0.4) will fall modestly. Total revenue = P × Q. With the majority of sales income-elastic and normal, total revenue should rise overall.

AO4: The change is unlikely to be harmful on balance — the very strong YED of Product 1, combined with its 60% share, means the gain dominates the loss on the inferior good. Depends on (i) the price the shop charges and any need to discount; (ii) whether competitors absorb the gains; (iii) whether income growth is evenly distributed (Product 2 still has a customer base from lower-income consumers); (iv) the YED of the remaining 10% of sales not in the table.

Q3 (a). Using a demand and supply diagram, outline how the central bank might be able to manage their exchange rate above their free-market exchange rate. **[3]**

Band	**AO1 (2)** **Is the diagram drawn accurately?**	**AO1 (1)** **Is the method outlined?**
2	**2 marks – Good understanding.** Appropriate D&S; diagram with the managed exchange rate clearly **above** the free-market equilibrium, fully labelled, and used to support the answer.	
1	**1 mark – Limited understanding.** Diagram attempted with significant labelling errors, free-market level not clearly marked, or correct diagram but wrong direction.	**1 mark.** Correct outline of how the supply/demand of currency is used to keep the exchange rate above the free-market equilibrium.
0	No valid diagram.	No valid understanding.

Indicative content

AO1 diagram: An appropriately labelled D&S; diagram for EGP vs $ with managed exchange rate above the free-market equilibrium; either demand for EGP shifts right (central bank using $ reserves to buy EGP) *or* supply of EGP shifts left, with an excess demand for EGP at the free-market level shown clearly.

AO1 method: The central bank can sell US dollars from its reserves to buy EGP, increasing demand for EGP and reducing the supply of EGP on the FX market. Alternatively, raising domestic interest rates increases demand for EGP (hot-money inflows). Capital controls restricting Egyptians from selling EGP for $ may also be credited.

Q3 (b). Using Figure 2, explain why critics would argue that the recent depreciation from $1:24.5 EGP to $1:30.9 EGP is the result of an unsustainable level of imports rather than market manipulation. **[3]**

Band	**AO2 (2)** **Is the data used to support the claim?**	**AO3 (1)** **Is the reasoning explained?**
2	**Good application:** precise use of the trade flow data — recognising the large trade deficit ($6.4bn imports vs $2.1bn exports) and its impact on the demand for $/supply of EGP.	
1	**Limited application:** uses one piece of the data (imports OR exports) but not both, or refers to the trade gap without quantifying.	**1 mark – Analysis:** developed reasoning explaining how persistent import demand drives down the EGP.
0	No valid application.	No valid analysis.

Indicative content

AO2: Egyptian imports from the US ($6.4bn) are roughly 3x Egyptian exports to the US ($2.1bn) — a large structural trade deficit, indicating persistent net demand for foreign currency.

AO3: To buy imports, Egyptian importers must supply EGP and demand $. This continuous net supply of EGP / net demand for $ depreciates the EGP in a free market. Critics would argue that the depreciation reflects underlying fundamentals (unsustainable import dependency, weak export base, low reserves) and is therefore a market correction, not a manipulated outcome. Indeed, the central bank's earlier defence of a stronger EGP would have required selling reserves; depletion of reserves forces the rate to find its market level.

Q4. Using the data and economic analysis, discuss the strength of the relationship between India's exchange rate and its economic growth, inflation and net exports between January 2020 and October 2021. **[9]**

Band	**AO1 (2)**	**AO2 (3)**	**AO3 (2)**	**AO4 (2)**
3		**Excellent application:** all four series used effectively to examine the strength of the inter-relationships. Answer thoroughly embedded in the data.		
2	**Good understanding** of exchange rates and how they influence growth, inflation and net exports.	**Good application:** data used to examine the inter-relationship, with clear reference to the ER and at least 2 of the 3 outcomes.	**Good analysis:** developed lines explaining how the variables should link together.	**Good evaluation:** reasoned judgement; counter-arguments developed.
1	**Limited understanding** of ER and its impact (ER + one impact only).	**Limited application:** ER + at least one of the 3 outcomes.	**Limited analysis:** superficial chain of reasoning.	**Limited evaluation:** counterpoints present but underdeveloped.
0	No valid.	No valid.	No valid.	No valid.

Indicative content

AO1: An exchange rate is the price of one currency in terms of another. An appreciation raises export prices and lowers import prices (potentially worsening net exports, slowing growth, easing imported inflation). A depreciation does the opposite.

AO2: The INR depreciated sharply from $0.0140 in Jan 2020 to a low of about $0.0132 (Apr 2020), recovered partially, and weakened again towards 2021. Real GDP collapsed (-23% YoY in Apr 2020) due to the pandemic before recovering strongly (+20.1% in Apr 2021 — base-effect). Inflation eased from 6.6% (Jan 2020) to 4.1% (Jan 2021) before rising again. Net exports remained negative throughout (-$8bn to -$30bn).

AO3: Standard theory predicts depreciation should improve net exports (cheaper exports) and lift growth via AD = C+I+G+(X-M). It should also push up imported inflation. The data shows weak conformity: net exports *worsened* after the depreciation, and growth was clearly driven by pandemic and reopening effects rather than the exchange rate.

AO4: The relationship is weak over this window. The dominant shock (Covid-19) overwhelms the ER signal. Net exports worsened despite a weaker rupee because import demand (oil, capital goods) is highly price-inelastic and India is a structural net importer. Inflation followed global commodity prices and supply-side factors more than ER. Lag effects (J-curve) also matter — a stronger ER pass-through to net exports might appear beyond October 2021. Other macro influences (fiscal stimulus, RBI rate decisions, lockdowns) had a much bigger short-run effect than the ER. Overall, the data is best interpreted as showing that the ER channel is real but secondary in this period.

Q5. To what extent will the absence of private property rights over UK common land lead to market failure? **[8]**

Band	**AO1 (2)** **Market failure understood?**	**AO2 (2)** **Answer in context?**	**AO3 (2)** **Link between lack of property rights and market failure explained?**	**AO4 (2)** **Debated and judged?**
2	**Good understanding:** precise — welfare loss / inefficient allocation of resources.	**Good application:** case used effectively; clear reference to overuse of common land throughout.	**Good analysis:** developed lines explaining how a lack of property rights creates market failure (tragedy of the commons).	**Good evaluation:** reasoned judgement; counter-arguments developed.
1	**Limited understanding:** imprecise definition.	**Limited application:** case used superficially.	**Limited analysis:** superficial chain of reasoning.	**Limited evaluation:** counterpoints present but underdeveloped.
0	No valid.	No valid.	No valid.	No valid.

Indicative content

AO1: Market failure is the inefficient allocation of resources, leading to welfare loss (or where the price mechanism fails to deliver an efficient outcome).

AO2: Common land is a classic common-access resource. No individual or business has the legal right to exclude others. The scenario describes increasing overuse — littering, illegal grazing, off-roading, fly-tipping.

AO3: Property rights are the legal entitlement to own and decide how resources are used. With open-access common land, each user faces the full private benefit of use but only a tiny share of the cost of degradation. Individual rational behaviour leads to collective overuse — the "tragedy of the commons". Negative externalities are imposed on other users and on future generations. The market under-provides upkeep and over-consumes the resource. Resulting welfare loss = MSC > MPC at the consumption level.

AO4: Depends on how strongly councils enforce existing by-laws (fines for fly-tipping, dog-fouling enforcement) — many councils do retain some property-rights-like control. Depends on whether community norms / social pressure substitute for formal property rights (Ostrom — common-pool resources can be managed without privatisation). Privatisation would create different problems (exclusion, loss of public amenity value). Government regulation (e.g. SSSIs, National Park status) can mitigate market failure without full private rights. Some common land has cultural / heritage value that is itself diminished by stricter property rights. **Judgement:** a complete absence of any rights or restrictions would produce significant market failure, but in practice UK common land sits within a mixed regime of regulation, by-laws and informal norms that partially internalise the externality.

Q6. Evaluate whether the proposed package is likely to lead to higher prices, higher unemployment and a lower rate of economic growth. **[9]**

Band	**AO2 (2)** **In context?**	**AO3 (3)** **Mechanisms explained?**	**AO4 (4)** **Debated and judged?**
3		**Excellent analysis:** detailed lines explaining how the package leads (or not) to all three outcomes.	**Excellent evaluation (4):** reasoned judgement clearly set in context.
2	**Good application:** data/case used effectively for at least two outcomes.	**Good analysis:** developed lines for two outcomes.	**Good evaluation (2–3):** reasoned judgement; counter-arguments developed.
1	**Limited application:** case used superficially or only one outcome covered.	**Limited analysis:** one outcome explained superficially.	**Limited evaluation:** counterpoints present but underdeveloped.
0	No valid.	No valid.	No valid.

Indicative content

AO2: The package: extension of the sugar tax; mandatory front-of-pack warnings; school sales ban from 2026; free dental vouchers for low-income families.

AO3 – Higher prices: An indirect tax raises producers' cost of supply, shifting supply left and raising consumer prices (incidence depends on PED). Reformulation costs (new labels, recipe changes to avoid the tax) raise unit costs. However, free dental vouchers do not raise sugary-drink prices and may reduce healthcare costs.

AO3 – Higher unemployment: A fall in demand for sugary drinks reduces derived demand for labour in the beverage and confectionery sectors. Advertising / marketing job losses if promotion is restricted. Some structural unemployment in regions concentrated in soft-drink production.

AO3 – Lower growth: Lower spending in the demerit-good sector reduces C in AD=C+I+G+(X-M). Lower expected industry profits depress I. Tax revenue, if recycled via dental vouchers, may sustain G.

AO4 – Higher prices: Producers may absorb part of the tax to defend market share, so the price rise is modest. Reformulation (the response to the existing UK sugar tax) has shown firms can avoid the tax altogether by lowering sugar content, leaving prices broadly unchanged. **Unemployment:** Beverage production is capital-intensive — direct job losses are limited. Workers may transfer to producing low-sugar alternatives. Frictional unemployment only. Other macro factors (Bank of England rates, fiscal policy) drive aggregate unemployment far more strongly. **Growth:** The package is small relative to overall GDP. Substitution toward water, milk and reformulated drinks keeps sector output roughly stable. **Longer term:** A healthier population raises potential GDP (lower NHS costs, higher participation rate, less absenteeism). On balance, short-run price and employment effects are small; the long-run growth effect is plausibly positive.

Q7 (a). Using calculations in your answer, explain why the total wage cap in 2022 might have been said to be "too low". **[4]**

Band	**AO2 (3)** **Are calculations used?**	**AO3 (1)** **Impact on wages explained?**
3	**Excellent application:** calculation showing the implied total annual wage exceeds the £3.2m cap, using a 52-week or 365-day year (e.g. 35 × £3,800 × 52 = £6.916m, well above the £3.2m cap).	
2	**Good application:** per-player comparison (£3.2m ÷ 35 = £91,429 ÷ 52 = £1,758 per week, vs current £3,800/wk) OR full-year calculation using a 48-week (12 × 4) year.	
1	**Limited application:** weekly total wage calculated only (e.g. 35 × £3,800 = £133,000/wk).	**1 mark – Analysis:** explanation of why the wage cap is too low — i.e. that current wages already exceed what the cap would allow.
0	No valid.	No valid.

Indicative content

AO2: Max permitted average wage per player at cap = £3.2m ÷ 35 = £91,428.57 per year ÷ 52 = £1,758.24 per week.
Current actual: £3,800/wk × 52 = £197,600 per year × 35 = £6,916,000 (£6.916m).
Or using 48 weeks (12 × 4): £3,800 × 35 × 48 = £6.384m.

AO3: The cap is roughly 46% of the current total wage bill. With player headcount unchanged, the league would either have to halve the average wage or release roughly half the playing squad. Teams therefore argue the cap is too low to retain current squad sizes at current pay.

Q7 (b). Using a diagram in your answer, discuss if the removal of the maximum price of labour was the main cause of the wage growth of elite cricketers since 1977. **[7]**

Band	**AO1 (3) Diagram correct?**	**AO2 (2) In context?**	**AO4 (2) Debated and judged?**
3	**Excellent:** max-price (wage floor below equilibrium) labour-market diagram, fully integrated with explanation of impact on wages after removal of max wage.		
2	**Good:** max-price diagram of impact on wages if max wage removed; may also include shift in D for labour due to TV revenue.	**Good application:** uses the data and the inelastic PES of labour to support strong wage growth.	**Good evaluation:** reasoned judgement on whether abolition of max price was the main cause; counter-arguments developed.
1	**Limited:** no diagram but understanding of removal of max wage on wages shown verbally.	**Limited application:** limited use of data.	**Limited evaluation:** counterpoints present but underdeveloped.
0	No / incorrect diagram.	No valid.	No valid.

Indicative content

AO1 (diagram): Wage on the y-axis, quantity of labour on the x-axis. Upward-sloping (inelastic) S_L, downward-sloping D_L. Original max wage drawn as a horizontal line below the free-market equilibrium (binding); excess demand for elite cricketers at the max wage marked. On removal, wage rises to the free-market equilibrium. A second diagram (or labelled shift on the same diagram) shows D_L shifting right due to broadcasting revenue, raising the new equilibrium wage further.

AO2: Wages rose from £420/wk in 1977 to £8,600 by 2005 (a ~20-fold real increase) and £42,000 by 2023 (a further ~5-fold real increase). The first jump corresponds to removal of the wage cap; the later acceleration coincides with multi-million-pound TV deals and an inelastic supply of elite cricketers.

AO4: Removal of the max wage was a *necessary* condition — without it, wages could not have risen above the cap regardless of revenue growth. However, between 2005 and 2023 wages rose almost five-fold further with no further policy change — this growth is explained by demand-side factors (TV revenue, franchise tournaments like the IPL, sponsorship). The inelastic supply of elite cricketers means any rightward shift in D_L feeds disproportionately into wages rather than into quantity. **Judgement:** the removal of the wage cap is best described as the *trigger* that *enabled* wage growth, but the rapidly growing demand for elite cricketers (driven by TV income, expansion of franchise leagues, globalisation of the sport) combined with inelastic PES is the *main driver* of the level of wages reached by 2023. If broadcasting revenue had remained at 1977 levels, the wage rise after removing the cap would have been far smaller.